

STATE OF NEW YORK

6582--A

2025-2026 Regular Sessions

IN ASSEMBLY

March 6, 2025

Introduced by M. of A. PHEFFER AMATO -- read once and referred to the Committee on Governmental Employees -- recommitted to the Committee on Governmental Employees in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the retirement and social security law, in relation to disability retirement of certain New York city correction members

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Paragraph 1 of subdivision b of section 507-a of the
2 retirement and social security law, as added by chapter 452 of the laws
3 of 1983, is amended to read as follows:

4 1. Have at least ten years of total service credit, except that a
5 member in the uniformed personnel of the New York city department of
6 correction may file an application without regard to length of service,
7 and

8 § 2. This act shall take effect immediately.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

SUMMARY: This proposed legislation would modify disability benefits for certain correction officers with less than 10 years of credited service to allow eligibility for such benefits without having to show that the disability resulted from a work-related accident.

EXPECTED INCREASE (DECREASE) IN EMPLOYER CONTRIBUTIONS by Fiscal Year for the first 25 years (\$ in Millions)

Year	NYCERS
2027	0.4
2028	0.4
2029	0.4
2030	0.4
2031	0.4

EXPLANATION--Matter in italics (underscored) is new; matter in brackets [-] is old law to be omitted.

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2032	0.5
2033	0.5
2034	0.5
2035	0.5
2036	0.6
2037	0.6
2038	0.7
2039	0.7
2040	0.8
2041	2.0
2042	2.1
2043	2.2
2044	2.4
2045	2.5
2046	2.6
2047	2.7
2048	2.8
2049	2.9
2050	3.0
2051	3.1

Projected contributions include future new hires that may be impacted. For Fiscal Year 2052 and beyond, the expected increase in normal cost as a level percent of pay for impacted new entrants is approximately 0.20%.

The entire increase in employer contributions will be allocated to New York City.

PRESENT VALUE OF BENEFITS: The Present Value of Benefits is the discounted expected value of benefits paid to current members if all assumptions are met, including future service accrual and pay increases. Future new hires are not included in this present value.

INITIAL INCREASE (DECREASE) IN ACTUARIAL PRESENT VALUES
as of June 30, 2025 (\$ in Millions)

Present Value (PV)	NYCERS
(1) PV of Employer Contributions:	0.9
(2) PV of Employee Contributions:	<u>0.0</u>
Total PV of Benefits (1) + (2):	0.9

UNFUNDED ACCRUED LIABILITY (UAL): Actuarial Accrued Liabilities are the portion of the Present Value of Benefits allocated to past service. Changes in UAL were amortized over the expected remaining working life-time of those impacted using level dollar payments.

AMORTIZATION OF UNFUNDED ACCRUED LIABILITY

	NYCERS
Increase (Decrease) in UAL:	(9.7) M
Number of Payments:	14
Amortization Payment:	(1.1) M

CENSUS DATA: The estimates presented herein are based on preliminary census data collected as of June 30, 2025. The census data for the impacted population is summarized below.

	NYCERS
Active Members	
- Number Count:	1,816
- Average Age:	39.0

- Average Service:	6.7
- Average Salary:	118,200

IMPACT ON MEMBER BENEFITS: Currently, correction officers who are determined to be disabled by the NYCERS' Medical Board, and have accumulated at least 10 years of service credit, are eligible for an immediate ordinary disability retirement (ODR) allowance equal to the greater of 1/3 of Final Average Salary (FAS), or 1/60th of FAS multiplied by credited service.

If the correction officer is also eligible for Service Retirement, the ODR benefit cannot be less than the retirement allowance for Service Retirement.

Under the proposed legislation, the ODR benefit would become available to disabled correction officers, subject to approval under the applicable statutes and procedures established by NYCERS, irrespective of service credit accumulation.

ASSUMPTIONS AND METHODS: The estimates presented herein have been calculated based on the Revised 2021 Actuarial Assumptions and Methods of the impacted retirement systems. In addition:

- * New entrants were assumed to replace exiting members so that total payroll increases by 3% each year for impacted groups. New entrant demographics were developed based on data for recent new hires and actuarial judgement.

- * The proposed Section 507-a benefit is assumed to only be available to eligible correction officers prospectively on and after the effective date of the legislation.

RISK AND UNCERTAINTY: The costs presented in this Fiscal Note depend highly on the actuarial assumptions, methods, and models used, demographics of the impacted population, and other factors such as investment, contribution, and other risks. If actual experience deviates from actuarial assumptions, the actual costs could differ from those presented herein. Quantifying these risks is beyond the scope of this Fiscal Note.

This Fiscal Note is intended to measure pension-related impacts and does not include other potential costs (e.g., administrative and Other Postemployment Benefits). This Fiscal Note does not reflect any chapter laws that may have been enacted during the current legislative session.

STATEMENT OF ACTUARIAL OPINION: Marek Tyszkiewicz and Gregory Zelikovsky are members of the Society of Actuaries and the American Academy of Actuaries. We are members of NYCERS, but do not believe it impairs our objectivity, and we meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein. To the best of our knowledge, the results contained herein have been prepared in accordance with generally accepted actuarial principles and procedures and with the Actuarial Standards of Practice issued by the Actuarial Standards Board.

FISCAL NOTE IDENTIFICATION: This Fiscal Note 2026-25 dated March 3, 2026 was prepared by the Chief Actuary for the New York City Retirement Systems and Pension Funds and is intended for use only during the 2026 Legislative Session.